who knew the market much better than we did. It turned out that the reason we were able to find CDOs whose collateral happened to be the absolute worst-performing subprime MBS was because Burry had gone to dealers months earlier and convinced them to create synthetic securitizations for the specific names he wanted to buy protection on [i.e., short].

By arriving relatively late at the scene toward the end of 2006, we unwittingly put ourselves in a position to reap even greater rewards from the dealers' avarice. In selling CDS to guys like Burry, they were synthetically replicating the bonds he wanted to short. It didn't take long for credit derivative dealers to have the thought that if synthetic MBS made sense, then so did synthetic CDOs.[12] In the same way they had sold a handful of value investors like Burry synthetic protection on their handpicked selection of junk-rated mortgage bonds, they repackaged those same securities and sold them to us in the form of a synthetic CDO. As far as I know, we were among the first investors to go short CDOs. Due to the zero correlation assumption implicit in the CDO construction, we were able to buy protection on the AA tranche, which consisted entirely of the worst quality subprime MBS, for only LIBOR + 50 basis points. It was, without a doubt, complete and utter insanity.

When did you put on your short positions [i.e., buying CDS protection on CDO tranches]?

We started in October 2006, and the last of our positions was put on in May 2007. The market collapse began on February 1, 2007. Most people think the financial crisis started when Bear Stearns failed, but in our view, it started more than a year earlier on February 1, 2007 when the ABX started tanking. [The ABX is an index referencing 20 subprime mortgage bonds with a separate index listed for each of five tranches, ranging from AAA to BBB-.] Since the bonds in the CDOs we had shorted were of even poorer quality than the bonds referenced by the ABX index, the selloff in the ABX implied sharply lower values for our CDOs.

Did you get fully positioned?

No, we would have kept shorting.